

inception the starting point will be different for them. Millburn is the one with the longest official track record and I include both old legendary funds and newer and less well-known funds. These funds have different volatility profiles and different investment universes, but if you look closely, you can see that they quite often show peaks and troughs at the same time. We can also see that a few of the funds with very strong long-term track records had really bad starts but picked themselves up and moved on, something that is extremely hard to do in reality.

To better put the numbers into context, consider Table 3.1 with some basic performance data. The compound annualised return of these funds is quite high, with most over or around double digits over extended periods of time. In the light of the fairly modest drawdowns, they far outpace traditional investment approaches. Of course, what truly makes them stand out is the low correlation to the equity markets.

Since 1977 when the oldest manager in our example list, Millburn, was founded, the MSCI World Index has yielded a compound annual return of 8%. To further put these numbers into perspective, the world stock market had an annualised standard deviation of 15% and a maximum drawdown (DD) of 55%, making it a highly inferior investment vehicle any way you look at it.

TABLE 3.1 Trend-followers' performance

	Annualised compound return (%)	Max DD (%)	Correlation to MSCI World	Starting date
MSCI World TR	8.12	-54.57		1988-01-01
Millburn Diversified	13.25	-25.65	0.02	1977-02-01
Dunn World Monetary and Agriculture	12.85	-57.88	-0.09	1984-11-01
Chesapeake Classic	10.06	-31.58	0.17	1988-02-01
Campbell Managed Futures	8.27	-31.77	-0.04	1990-01-01
Eckhardt Evolution	10.85	-27.11	0.02	1991-08-01
Estlander Alpha Trend	7.86	-29.71	0.04	1991-10-01
Tactical Institutional Commodity	16.34	-41.53	-0.05	1993-04-01
Transtrend Enhanced Risk	11.25	-15.67	0.01	1995-01-01
Mulvaney Global Markets	12.49	-45.08	-0.12	1999-05-01
Alpha Quest Original	9.85	-29.39	-0.08	1999-05-01